STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

HP Inc

NYSE: HPQ · Information Technology / Technology hardware · United States

A cash machine priced for decline: about 10x earnings and a 10% free-cash-flow yield

OVERWEIGHT Medium conviction

Price	**$32.36**
Target (base case)	**$39.14**
Upside / downside	**+21%**
Horizon	**12 months**

Price: intraday, 29 Oct 2026

$29.2bn
Market cap

$3.0-3.2bn
FY26 FCF guide

~10x
P/E on FY26 guide

3.7%
Dividend yield

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A cash machine priced for decline: about 10x earnings and a 10% free-cash-flow yield

OVERWEIGHT

$39.14

base-case value, +21% vs $32.36

HP generates about $3bn of free cash flow a year and returns most of it. At $32 the stock trades at about 10x fiscal 2026 earnings and a 10.6% FCF yield, as if printing were about to collapse. We think memory-cost pressure peaks now and the cost programme supports margins into fiscal 2027.

1 Cash yield is the valuation

FY2026 FCF guidance was raised to $3.0-3.2bn in August 2026: about 10.6% of the market cap at the midpoint. HP returned $1.9bn (66% of FCF) to shareholders in FY2025 and raised the dividend to $0.30 a quarter.

2 The margin squeeze is temporary

Management expects DRAM and NAND costs to peak in Q4 FY2026 (Aug-Oct) and Personal Systems margins (4.6% in Q3) to recover sequentially in FY2027. The $1bn gross savings programme runs to FY2028.

3 Printing still funds the story

Printing is 30% of revenue but earns an 18-19% margin. It declines about 2% a year, slowly enough to keep funding buybacks and dividends.

HP Inc at a glance

Personal Systems

PCs, workstations and peripherals: $38.5bn of FY2025 revenue at a 5.3% operating margin.

Printing

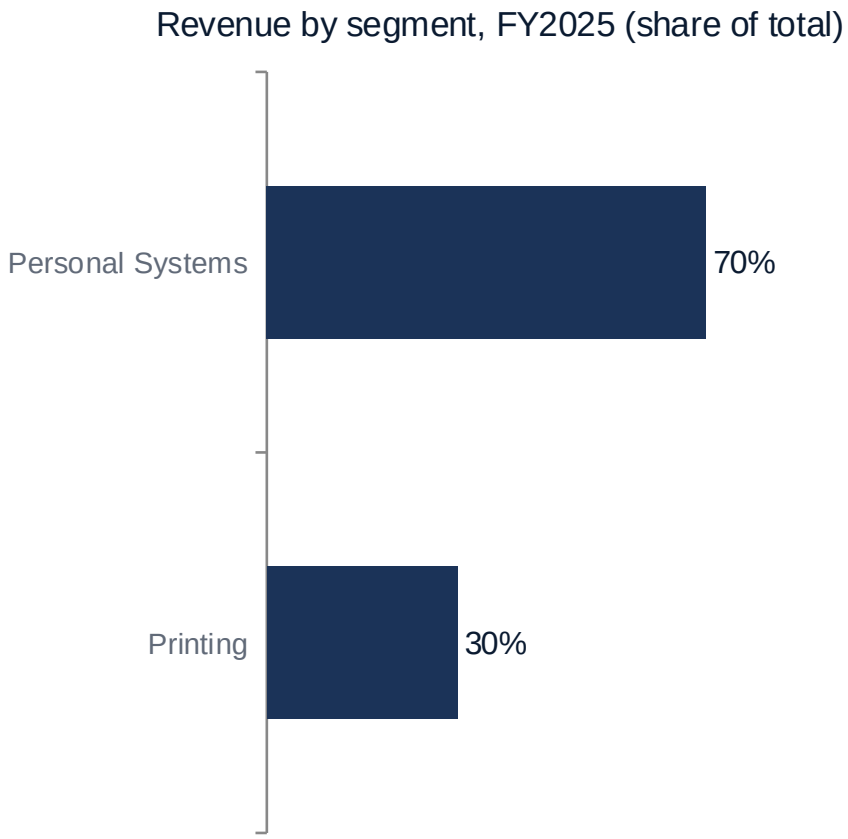
Supplies (ink and toner), hardware and industrial graphics: $16.7bn at an 18.7% margin.

Growth areas

AI PCs with dedicated neural processors, workstations and services.

Capital

Negative book equity after years of buybacks; net debt about $5bn (own calculation).



Source: company filings; Revenue by segment, FY2025

What moves the stock beyond the company

Q4 FY26 — **Memory prices**

DRAM and NAND inflation squeezes PC margins; management expects the peak in Aug-Oct 2026.

Oct 2025 — **Windows 10 end of support**

Drove a commercial refresh: Personal Systems revenue +18% in Q3 FY2026.

$0.19 — **US tariffs**

IEEPA tariffs struck down in February 2026; FY26 EPS includes $0.19 of one-off refunds.

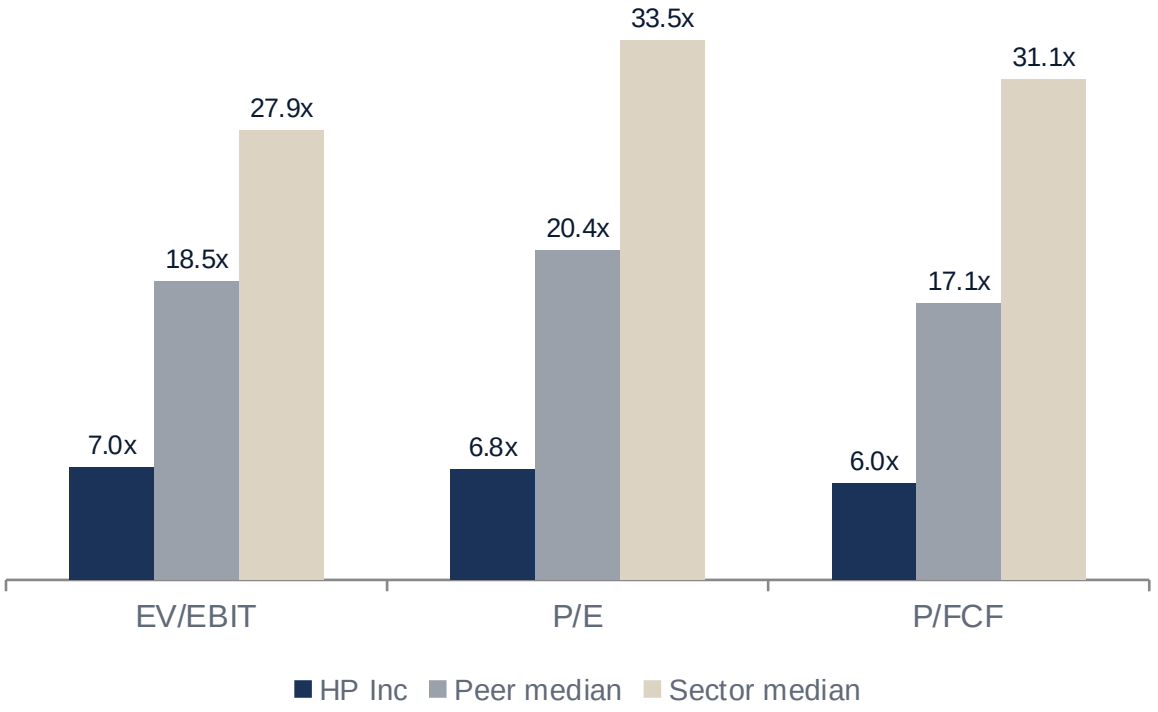
Mix — **AI PCs**

Higher-spec machines lift average selling prices as the installed base renews.

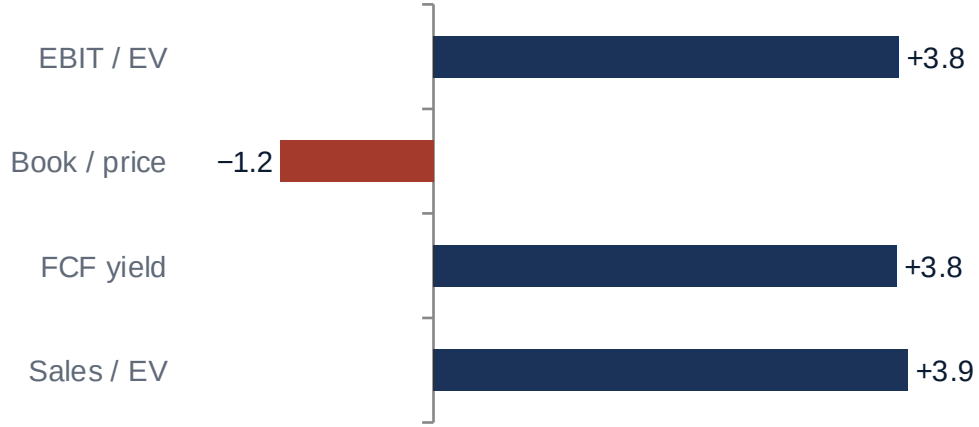
Source: company releases and research brief (see Sources slide)

Ranked 2 of 128 in Information Technology on our value score

Multiples at 31 Dec 2025 (last usable fiscal year)



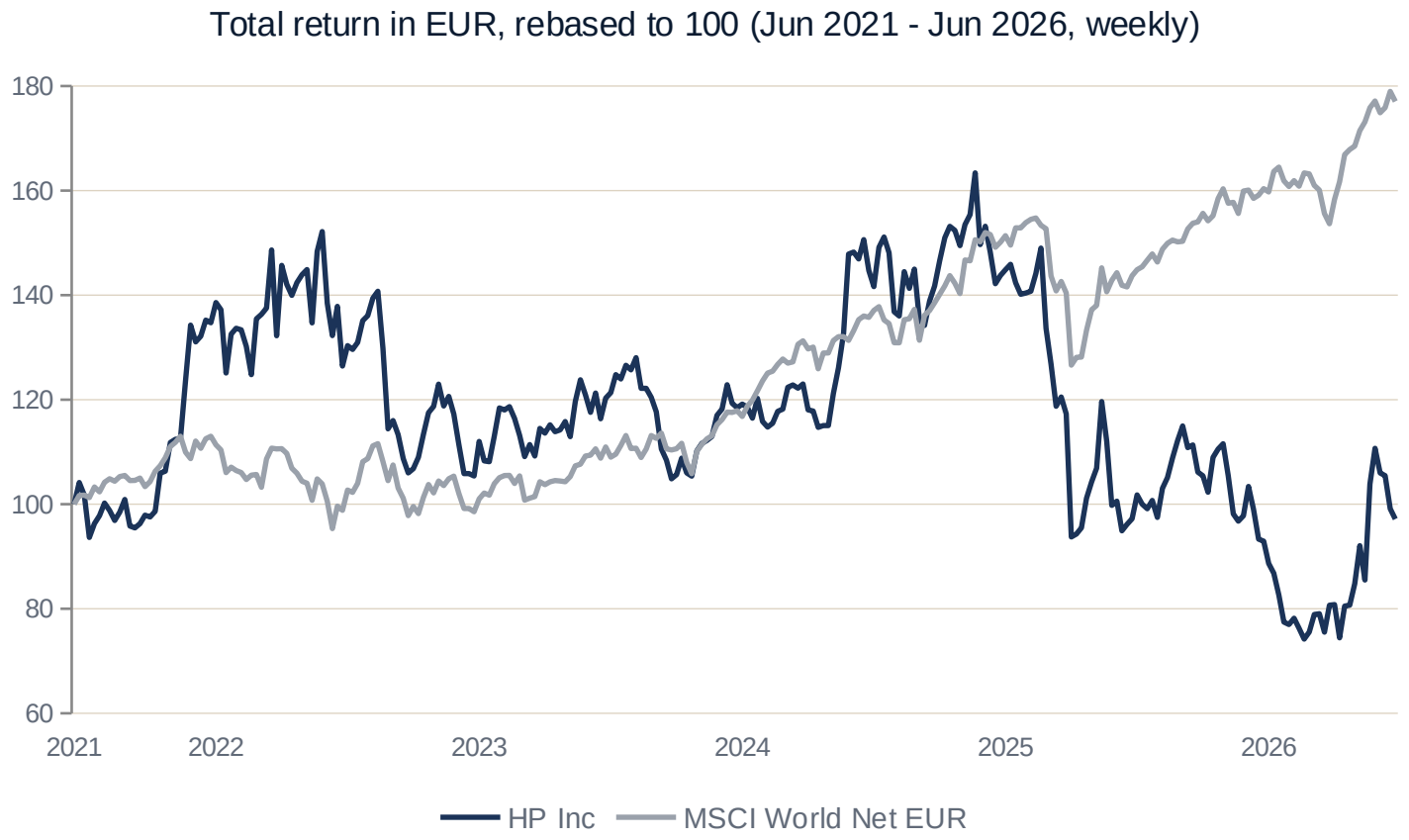
Value z-scores within the sector (Dec 2025)



Composite score 2.54, rank 2 of 128 in its sector. The score averages the z-scores above (four ratios as yields). Accounts are used only from fiscal year end + 6 months, so in December 2025 the screen read the accounts for the fiscal year ended October 2024.

Source: Portfolio Project pipeline (Bloomberg data); peers: Dell Technologies, Hewlett Packard Enterprise, Logitech, Canon (pipeline peer set).

Held at 10 of 10 rebalances since June 2021



+8.7%

H1 2026 return (EUR)

+10.8%

MSCI World Net EUR, H1 2026

2.0%

Weight, equal weight

2.8% / 0.5%

Min-variance / mean-variance

Source: pipeline weekly total returns (EUR, net of withholding tax) and portfolio weights at the 31 Dec 2025 rebalance

Reported numbers and guidance

	FY2024	FY2025	Q3 FY2026	FY2026 guide
Net revenue	$53.6bn	$55.3bn	$15.7bn	—
Personal Systems margin	—	5.3%	4.6%	trough
Printing margin	—	18.7%	18.1%	—
Non-GAAP diluted EPS	$3.43	$3.12	$0.83	$3.19-3.29*
Free cash flow	—	$2.9bn	$1.6bn	$3.0-3.2bn
Shareholder returns	—	$1.9bn	$0.3bn buyback	—

*Includes $0.19 of one-off tariff refunds. Fiscal year ends 31 October. FY2024 revenue derived from the +3.2% reported for FY2025. Sources: HP Q4 FY2025 and Q3 FY2026 releases.

07 VARIANT PERCEPTION

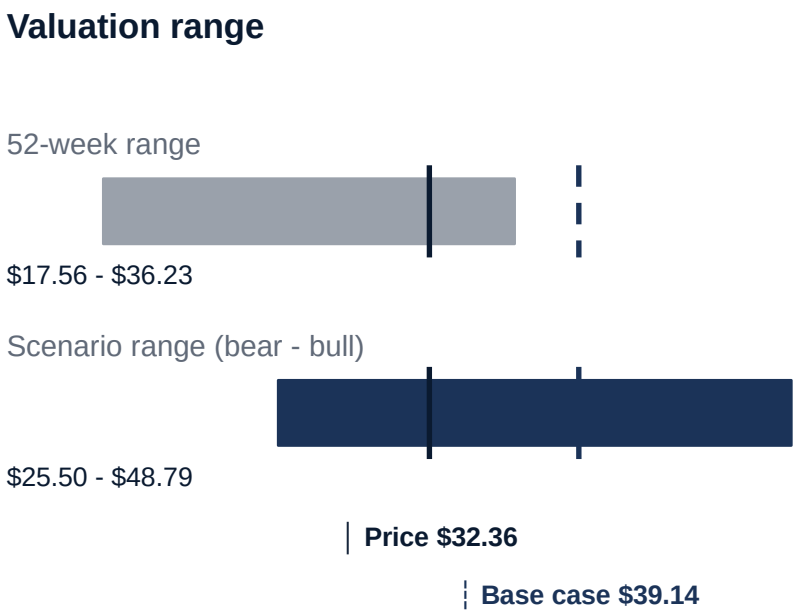
Where we differ from the market

WHAT THE MARKET BELIEVES	OUR VIEW
“Printing is in terminal decline”	Revenue falls about 2% a year and the margin holds above 18%. A slow decline is priced as a fast one.
“FY2026 PC demand was pulled forward by Windows 10”	Partly true. We use a base FCF of $3.0bn, below the guided midpoint, and exclude tariff refunds.
“An interim CEO means strategic risk”	A permanent appointment, expected in the coming months, is more likely a catalyst than a threat.

Base-case value $39.14 per share, +21% vs today

Method: Free-cash-flow yield

Scenario	Key inputs	Value / share	vs price
Bear	FCF $2.3bn at 10.0% yield Printing decline accelerates; PC cycle turns	**$25.50**	**−21%**
Base	FCF $3.0bn at 8.5% yield FCF at the bottom of the FY26 guide	**$39.14**	**+21%**
Bull	FCF $3.3bn at 7.5% yield Memory relief and savings lift FY27 margins	**$48.79**	**+51%**



HP's value to an owner is the cash it can distribute. We divide sustainable free cash flow by a required yield (7.5-10%) and by 901.8m shares. The base case uses $3.0bn, the bottom of the guide, and excludes tariff refunds.

Source: own valuation; 52-week range and consensus from third-party data (29 Oct 2026)

What could move the stock in the next 12-18 months

~25 Nov 2026

Q4 FY2026 results and first FY2027 outlook

Q4 FY26-H1 FY27

Memory-cost peak and sequential PC margin recovery

2026-2027

Appointment of a permanent CEO

To FY2028

$1bn gross run-rate savings, reported each quarter

FY2027

AI PC mix and the tail of the commercial refresh

The number to watch: FY2027 FCF guide below about $2.5bn

Risks, mitigants and what would make us sell

Risk	Mitigant
Printing decline speeds up	Supplies are recurring; margin held above 18%
PC demand pulled forward into FY2026	Base case below the guide
Memory costs do not peak as guided	Pricing passed through in Q3
Negative equity and ~$5bn net debt	Payout flexible; buybacks can be cut first

WE SELL IF

- FY2027 FCF guide below about $2.5bn
- Printing margin below 16%
- A dividend or buyback cut, or FY2027 EPS guide down y/y ex tariff refunds

Sources

[S1] HP Inc., Form 8-K Exh. 99.1, "HP Inc. Reports Fiscal 2025 Full Year and Fourth Quarter Results", 25 Nov 2025

[S2] HP Inc., Form 10-K for the fiscal year ended 31 Oct 2025, filed 10 Dec 2025

[S3] HP Inc., Form 8-K Exh. 99.1, "HP Inc. Reports Fiscal 2026 First Quarter Results", 24 Feb 2026

[S4] HP Inc., Form 10-Q for the quarter ended 31 Jul 2026

[S5] HP Inc., Form 8-K Exh. 99.1, "HP Inc. Reports Fiscal 2026 Third Quarter Results", 26 Aug 2026

[S6] Coverage of HP 8-K on CEO transition, 3 Feb 2026: Action-Intell

[S7] investingLive, "HP Q4 revenue beats; 2026 EPS guidance trails, 4k-6k jobs to go", 25 Nov 2025

[S8] Plante Moran, "Supreme Court strikes down IEEPA tariffs", Feb 2026

[S9] Futurum Group, "HP Q2 FY 2026 Earnings Emphasize AI PC Mix Shift Amid Cost Pressure", May 2026

[S10] Massive, HPQ quote page (delayed quote, 52-week range, market cap, ratios), snapshot 29 Oct 2026 11:51 EDT

[S11] Earnings Whispers, HPQ earnings page (Q3 consensus; next report date)

Portfolio Project pipeline: scores, multiples, weights and returns computed from Bloomberg data extracted on the SKEMA terminal (Oct 2026).

Disclosure: student research prepared for educational purposes and job interviews. It is not investment advice or a solicitation. Third-party market data (prices, consensus, forward multiples) is labelled and was accessed on 29 October 2026; third-party figures should be checked against company filings or a Bloomberg terminal before use. Backtest results are hypothetical.